

European Automobiles & Components

Volvo Car AB

Rating

Underperform

Price Target

 VOLCARB.SS

17.00 SEK



Harry Martin, CFA
+44 20 7676 8965
harry.martin@bernsteinsg.com



Gali Salvatorelli Naraghi
+44 20 7676 6741
gali.salvatorelli-naraghi@bernsteinsg.com



Stephen Reitman
+44 20 7762 5535
stephen.reitman@bernsteinsg.com

Specialist Sales



James Brady
+44 20 7762 5272
james.brady@bernsteinsg.com

Volvo Cars Q2 2026: Summer break (Underperform)

Volvo Cars, much like the world's top footballers who have just completed the longest World Cup of all time, reaches mid-July in need of a summer break and reset. And while car plants in Europe do cease production lines at this time of year, most of the industry's (and Volvo's) issues are too pressing to be ignored until September. Q2 was clearly a tough quarter: EBIT missed consensus by 25%, FY volume guidance was removed, and the stock dropped 10% on the day. To Volvo's credit, the predominant issues are market-level (collapse of pricing and European brand performance in China, discounting in Europe and removal of EV credits in the U.S.) which are causing volume and mix headwinds. Company-specific performance metrics are better: cost cutting is running ahead of plan, and even in Q2 Volvo gained share of the global electric+hybrid car market. Much from here rests on the success of the EX60 launch, but we retain our Underperform, with many risks still there in H2 and beyond.

Q2 miss driven by volume & mix. Volvo reported a worse-than-expected Q2 on both revenue and EBIT (6% and 25% misses respectively). This was mainly attributable to its sales mix being more heavily weighted towards smaller and lower-priced cars such as the EX30 and EX40, as well as having a lower PHEV share (unit sales down 12% yoy). As a result of global volume down -4% in H1, Volvo withdrew its previous guidance for FY volume growth, but does still expect to hit breakeven FCF in 2026 despite a 15bn SEK outflow in H1.

Q2 the floor? In the near term, the most critical question for the investment case is whether Q2's struggles are the floor, and how much self-help on the cost side plus the EX60 launch can improve things from here. While the EX60 is expected to be accretive to group margins over time, and management expects an improved US pricing environment, we see a number of offsets to the downside. Cost savings which also materially improved H2 2025 performance will have a reduced YoY impact, raw material headwinds increase, emission credit sales comp is materially harder, and the EX60 ramp is not risk free and will be gradual over summer only really impacting Q4. In the face of rising competition from Chinese brands, Volvo lost market share in Europe in H1, and we do not see the wave of new competition slowing down. We also continue to expect a miss to FCF guidance, even giving more credit in our updated model for lower capex/R&D than previously.

Investment Implications

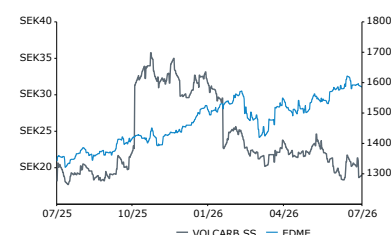
We rate Volvo Underperform with a SEK 17 target price.

Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
VOLCARB.SS (SEK)	0.06	3.09	6.56	Revenues (M)	357,263	333,845	362,190	0.7%	Adjusted P/E (x)	327.0	6.2	2.9
OLD	--	2.48	7.61	FCF (M)	(877.00)	(9,416)	(179.44)	(54.8)%	EV/Sales (x)	0.2	0.2	0.1
				Adjusted EBIT	12,543.0	9,181.2	18,574.6	21.7%	EV/Adj EBITDA (x)	1.5	1.5	1.1

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	20 Jul 2026			
VOLCARB.SS Close Price (SEK)	19.15			
Price Target (SEK)	17.00			
Upside/(Downside)	(11)%			
52-Week Range	36.54/17.80			
EDME	1,587.83			
FYE	Dec			
Div Yield	NA			
Market Cap (SEK) (M)	57,058			
EV (SEK) (M)	53,962			
Performance	YTD	1M	6M	12M
Absolute (%)	(37.6)	(1.7)	(36.9)	2.1
EDME (%)	8.0	0.6	6.2	17.5
Relative (%)	(45.6)	(2.4)	(43.1)	(15.3)
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



DETAILS

RESULTS RECAP

Overall take. After the briefing call ([Link](#)) outlined a Q2 which would be hit by cost inflation and discounting as well as the tough China market, an 11% gross profit miss and 25% EBIT miss should perhaps come as little surprise. We went into the quarter meaningfully below consensus and the results are slightly better than our expectations for a 16% gross margin (actual 16.8%). Much lower R&D expenses also meant EBIT beat our forecast of slightly below breakeven. FCF burn was -€5bn SEK (consensus had positive FCF) but the company still expects approximately breakeven for the FY, where it will launch new models and unwind some of the inventory build. CMD also planned for September in Stockholm.

- **The quarter.** Volvo reported revenue of SEK 77.7bn, missing consensus by 6%, gross margin of 16.8%, 90 bps below consensus, and EBIT excl. items affecting comparability of SEK 826mn, a significant (25%) miss to consensus. The decrease was driven by a combination of lower underlying wholesale volumes, weaker sales mix and pricing, FX effects, and a one-off sale of SEK 3.3 bn in 2Q25 that boosted last year's figures.
- Retail sales were overall down 6% YoY, largely driven by a 37% decline in China, but were flat and up 9% in Europe and the US respectively. The US is said to be showing signs of a recovery in H2 after growth in May and June. In Europe, pricing pressure remains.
- EBIT decline was mainly down to less favorable sales mix and pricing, weaker wholesale volumes, negative D&A effects, as well as lower revenue benefits from emission credits (SEK 0.8bn vs 1.7bn in 2Q25).
- Volvo's free cash outflow of SEK 5.2bn was considerably below consensus (1.9bn inflow). Compared to our model which had a large working capital outflow, Volvo saw a minor working capital inflow.
- **Outlook.** Volvo indicated that they expect "significantly stronger" sales in H2 vs H1, as well as "strong positive" FCF in the latter parts of H2, resulting in full year being break even.

EXHIBIT 1: Volvo Car: Results vs Consensus

2026 Q2 SEK mns	Actual			BERNe		Consensus	
	2025 Q2	2026 Q2	vs 2025(%)	2026 Q2E	Δ	2026 Q2E	Δ
Total Revenue	93,492	77,673	(16.9%)	84,308	(7.9%)	82,736	(6.1%)
Gross Income (excl. items affecting comparability)	12,590	13,083	3.9%	13,489	(3.0%)	14,683	(10.9%)
Gross Margin	13.5%	16.8%	3.4%	16.0%	0.8%	17.7%	(0.9%)
EBIT	-9,955	826	(108.3%)	-71	(1256.4%)	1,105	(25.2%)
Margin	-10.6%	1.1%	11.7%	-0.1%	1.1%	1.3%	(0.3%)
EBIT (excl. items affecting comparability)	2,912	826	(71.6%)	429	92.7%	1,105	(25.2%)
Margin	3.1%	1.1%	(2.1%)	0.5%	0.6%	1.3%	(0.3%)
Net Income (shareholders)	-7,512	1,256	(116.7%)	-34	(3828.8%)	1,050	19.6%
Basic EPS	-2.53	0.54	(121.3%)	-0.02	(3407.2%)	0.35	52.4%
Cash flow from operating and investing	4,182	-5,243	(225.4%)	-14,806	(64.6%)	1,857	(382.3%)
Working Capital Cash Flow	12,635	898	(92.9%)	-11,618	(107.7%)		
Net Capex	-11,423	-8,323	(27.1%)	-9,600	(13.3%)		

Source: Company reports, Infront consensus, Bernstein analysis and estimates

TOP 10 QUESTIONS FOR MANAGEMENT

1. Could you give some further detail on the MoU with the Belgian government that involves the receiving of a €119m package to be used for operations in Gent? What are the cash flow dynamics? Going forward, how much of production will be taken up by other brands in Geely group?
2. What is the run-rate volume of EX60 needed for it to be margin accretive as planned? Do we get to these levels by the end of 2026?
3. You point out H1 savings already higher than the SEK 5bn for the full year, so should we assume more than SEK10bn by the end of 2026, or are there some non-underlying effects? Or ultimately are the underlying savings in H2 washed out due to cost inflation?
4. What are the main drivers behind removing the annual YoY sales growth target for 2026 volumes?
5. You expect FCF to improve in 2026 vs 2025 despite the base containing SEK 8bn of proceeds from the sale of Lynk&Co. Many headwinds from 2025 continue/worsen: FX, raw material inflation including semis, restructuring, new model ramp. What gives you confidence you can grow FCF despite these headwinds?
6. In your strategy update in November, you laid out the path to an 8% EBIT margin. What timeline do you expect to achieve this over? What level of margin would you expect to achieve in 2026, and what is the phasing between H1 and H2?
7. You spoke at Q4 about a net tariff impact of 1bn for 2025. Do you expect this to be lower in 2026? You have now begun production of the EX30 at Gent in response to the EU-China tariffs. How much more production needs to be shifted locally in order to have the right manufacturing footprint? How much capex do you expect to spend moving production in the coming years?
8. How do you see the competitive environment today? Is pressure on pricing stepping up, and how does it vary by region? How competitive are Chinese players' EV launches in Europe? What unit sales are you targeting for the EX60 during peak production?
9. How do you see your competitive position in BEVs, particularly in China? Would it be fair to say it is unreasonable to expect you can compete with local players on cost? How does the Volvo brand position itself in China to deliver a strong proposition to consumers in this context?
10. How is the relationship with Geely? You spoke about integrating governance more closely with them, how do you expect this to evolve?

SUMMARY CHANGES TO MODEL

We update our model for the Q2 results and the latest FX rates. Our 2026 revenue comes down on the Q2 miss, but our EBIT comes up due to the company beating our estimates on lower R&D. FCF for 2026 is also revised up after the company reported capex notably lower than our estimates going into results, but we remain below guidance for FY breakeven. Our future years, however, are broadly unchanged. Our EPS estimates are altered due to a change in the way we forecast minorities.

EXHIBIT 2: Volvo Cars: Summary Changes to Model

	Actual	OLD			NEW			Δ		
	2025 FY	2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE
Total Wholesale Volumes	693,024	695,937	740,061	782,613	678,551	728,400	771,634	(2%)	(2%)	(1%)
Revenue: New Cars	250,468	238,595	256,876	274,424	233,884	256,743	274,754	(2%)	(0%)	0%
Contract Manufacturing Revenue	10,249	9,952	10,947	12,042	9,760	10,736	11,810	(2%)	(2%)	(2%)
Other Revenue	96,546	95,901	97,652	99,551	90,201	94,711	99,446	(6%)	(3%)	(0%)
Total Revenue	357,263	344,448	365,475	386,018	333,845	362,190	386,010	(3%)	(1%)	(0%)
Gross Profit	60,221	58,885	68,899	76,624	57,726	68,303	76,652	(2%)	(1%)	0%
Margin	16.9%	17.1%	18.9%	19.8%	17.3%	18.9%	19.9%	0.2%	0.0%	0.0%
EBITDA	35,186	35,291	47,106	53,292	36,601	47,261	53,442	4%	0%	0%
Margin	9.8%	10.2%	12.9%	13.8%	11.0%	13.0%	13.8%	0.7%	0.2%	0.0%
EBIT excl. items affecting comparability	12,543	8,695	18,654	23,798	9,181	18,575	23,793	6%	(0%)	(0%)
Margin	3.5%	2.5%	5.1%	6.2%	2.8%	5.1%	6.2%	0.2%	0.0%	(0.0%)
Tax	-2,302	-2,795	-5,577	-7,150	-3,124	-5,522	-7,122	(12%)	(1%)	(0%)
Net Income after Minorities	174	5,620	15,718	20,296	7,243	13,528	17,449	29%	(14%)	(14%)
Diluted EPS	0.1	2.5	7.6	9.8	3.1	6.6	8.5	24%	(14%)	(14%)
Net Debt/(Cash)	-13,996	-167	1,575	-6,542	335	1,524	-6,458	(300%)	(3%)	(1%)
Total D&A Charge	-23,945	-26,596	-28,452	-29,494	-27,419	-28,686	-29,649	(3%)	(1%)	(1%)
Free Cash Flow	-877	-12,903	-786	9,073	-9,416	-179	8,993	27%	(77%)	(1%)

Source: Company reports, Bernstein estimates & analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 3: Volvo Cars: Summary Model

SEK mn	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY	2026 H1	2026 H2E	2026 FYE	2027 FYE	2028 FYE	2029 FYE	2030 FYE
Income Statement													
Revenue	262,833	282,045	330,145	399,343	400,234	357,263	150,289	183,556	333,845	362,190	386,010	414,985	449,960
Growth	-4%	7%	17%	21%	0%	-11%	-15%	2%	-7%	8%	7%	8%	8%
Gross Profit (excl. items affecting comparability)	46,020	60,413	60,332	77,427	79,413	60,221	26,483	31,243	57,726	68,303	76,652	84,478	93,844
Margin	17.5%	21.4%	18.3%	19.4%	19.8%	16.9%	17.6%	17.0%	17.3%	18.9%	19.9%	20.4%	20.9%
EBITDA	22,965	35,280	38,423	37,388	45,048	35,186	14,784	21,817	36,601	47,261	53,442	58,443	64,156
Margin	8.7%	12.5%	11.6%	9.4%	11.3%	9.8%	9.8%	11.9%	11.0%	13.0%	13.8%	14.1%	14.3%
EBIT (excl. items affecting comparability)	8,516	16,995	16,433	20,563	24,020	12,543	2,441	6,740	9,181	18,575	23,793	27,944	32,879
Margin	3.2%	6.0%	5.0%	5.1%	6.0%	3.5%	1.6%	3.7%	2.8%	5.1%	6.2%	6.7%	7.3%
Finance Income	2,618	1,003	918	2,495	2,190	1,929	779	598	1,377	1,391	1,508	1,800	2,201
Finance Cost	(1,588)	(2,518)	(2,435)	(772)	(1,164)	(1,251)	(711)	(780)	(1,491)	(1,561)	(1,561)	(1,561)	(1,561)
Other Finance/Exceptionals	0	3,280	5,899	(1,426)	(2,327)	(13,887)	366	(1,000)	(634)	0	0	0	0
Reported PBT	9,546	18,760	20,815	20,860	22,719	-666	2,875	5,558	8,433	18,405	23,740	28,183	33,519
Tax	(1,758)	(4,583)	(3,812)	(6,794)	(6,785)	(2,302)	(1,735)	(1,389)	(3,124)	(5,522)	(7,122)	(8,455)	(10,056)
Tax Rate (%)	-18%	-24%	-18%	-33%	-30%	346%	-60%	-25%	-37%	-30%	-30%	-30%	-30%
Reported Net Income (Group)	7,788	14,177	17,003	14,066	15,934	(2,968)	1,140	4,168	5,308	12,884	16,618	19,728	23,463
Reported EPS - Diluted	114.08	4.78	5.23	4.38	5.17	0.06	0.97	2.12	3.09	6.56	8.46	10.04	11.94
EPS Growth	-19%	109%	9%	-16%	18%	-99%	-146%	-3%	5171%	112%	29%	19%	19%
Segment Forecasts													
Retail Volumes													
BEV Volumes	4,659	25,727	66,749	113,419	175,194	151,830	79,502	93,862	173,364	203,344	223,678	246,046	270,650
Non-BEV Volumes	657,054	672,966	548,372	595,297	588,195	558,212	245,315	263,954	509,269	530,057	552,956	586,253	631,620
Total Retail Volumes	661,713	698,693	615,121	708,716	763,389	710,042	324,817	357,816	682,633	733,400	776,634	832,299	902,270
YoY Growth		6%	-12%	15%	8%	-7%	-8%	0%	-4%	7%	6%	7%	8%
% Retail Volume Share													
BEV		4%	11%	16%	23%	21%	24%	26%	25%	28%	29%	30%	30%
Non-BEV		96%	89%	84%	77%	79%	76%	74%	75%	72%	71%	70%	70%
Revenue by Geography													
China	23%	23%	21%	18%	16%	14%							
US	15%	18%	19%	19%	17%	18%							
Europe	46%	43%	44%	46%	52%	54%							
Other Markets	15%	16%	16%	16%	15%	14%							
Gross Margin													
BEV Gross Margin		13%	8%	9%									
Non-BEV Gross Margin		19%	21%	23%									
Total Gross Margin	18%	21%	18%	19%	20%	18%	18%	17%	17%	19%	20%	20%	21%
Revenue Bridge (SEK bn)													
Volume			-3.1	41.8	25.2	-34.4	-7.8	0.3	-7.5	24.5	21.5	27.8	35.1
Sales Mix/Pricing			15.2	4.7	-6.3	-4.3	-12.8	-0.7	-12.3	12.2	3.7	3.9	4.2
Contract Manufacturing			18.7	2.1	-9.2	-2.9	-0.8	0.4	-0.5	1.0	1.1	1.2	1.3
FX			21.8	14.3	-6.1	-14.1	-7.2	3.7	-4.3	-4.7	0.0	0.0	0.0
Other			-4.4	6.3	-2.7	12.7	2.5	-0.9	1.1	-4.7	-2.4	-4.0	-5.6
Total Change in Revenue			48.1	69.2	0.9	43.0	-26.2	2.7	-23.4	28.3	23.8	29.0	35.0
Condensed Balance Sheet													
PP&E, Intangibles	94,621	114,743	134,246	156,217	190,905	182,356	191,743	194,190	194,190	201,137	207,406	213,301	219,074
Cash & Cash equivalents	61,592	62,265	63,743	47,861	56,374	57,564	41,420	44,294	44,294	43,417	51,711	63,592	79,019
Working Capital Assets	50,289	55,156	72,190	76,342	85,235	80,265	99,042	79,574	79,574	85,338	90,950	97,777	106,018
Other Assets	55,810	51,660	60,745	75,942	55,722	52,987	55,849	56,213	56,213	56,903	57,593	58,283	58,973
Total Assets	262,312	283,824	330,924	356,362	388,236	373,172	388,054	374,271	374,271	386,794	407,660	432,953	463,084
Debt (Including Leases post IFRS 16)	40,336	32,386	35,155	36,278	39,728	37,715	38,762	38,918	38,918	39,230	39,542	39,854	40,167
Net Pension Liability	14,187	11,961	6,883	7,610	8,111	5,853	5,711	5,711	5,711	5,711	5,711	5,711	5,711
Other Liabilities	137,371	144,499	171,608	181,989	198,197	181,226	193,261	175,154	175,154	174,481	178,417	183,669	190,024
Total Liabilities	191,894	188,846	213,646	225,877	246,036	224,794	237,734	219,783	219,783	219,422	223,670	229,234	235,902
Total Equity	70,418	94,978	117,278	130,485	142,199	148,378	150,321	154,489	154,489	167,373	183,991	203,720	227,183
Net Debt incl. pension (Net cash)	(7,069)	(17,918)	(21,705)	(3,973)	(8,535)	(13,996)	3,053	335	335	1,524	(6,458)	(18,026)	(33,141)
Net Debt (Net Cash)/EBITDA	(0.3)	(0.5)	(0.6)	(0.1)	(0.2)	(0.4)	0.2	0.0	0.0	0.0	(0.1)	(0.3)	(0.5)
Financial Debt/EBITDA	(1.2)	(1.0)	(0.9)	(0.5)	(0.6)	(0.8)	(0.7)	(0.6)	(0.4)	(0.2)	(0.4)	(0.5)	(0.7)
Cashflow													
Adjusted EBITDA	22,965	35,280	38,423	37,388	45,048	35,186	14,784	21,817	36,601	47,261	53,442	58,443	64,156
Cash exceptional	0	66	0	(624)	0	(809)	(500)	(1,000)	(1,500)	0	0	0	0
Working Capital	11,009	(1,644)	6,542	2,827	4,074	9,187	(7,562)	1,361	(6,201)	(6,437)	(1,677)	(1,575)	(1,885)
Cash R&D	(7,517)	(10,900)	(15,188)	(18,912)	(18,724)	(15,855)	(6,161)	(6,682)	(12,843)	(15,202)	(16,197)	(17,407)	(18,867)
% sales	2.9%	3.9%	4.6%	4.7%	4.7%	4.4%	4.1%	3.6%	3.8%	4.2%	4.2%	4.2%	4.2%
Other Net Capex	(10,612)	(12,301)	(16,763)	(19,611)	(25,328)	(23,350)	(9,528)	(9,941)	(19,469)	(18,631)	(17,922)	(17,188)	(16,382)
% sales	4.0%	4.4%	5.1%	4.9%	6.3%	6.5%	6.3%	5.4%	5.8%	5.1%	4.6%	4.1%	3.6%
Lease Principal Repayment (IFRS 16)	(1,350)	(1,450)	(1,711)	(1,747)	(2,053)	(2,108)	(1,065)	(900)	(1,965)	(1,800)	(1,800)	(1,800)	(1,800)
Cash Taxes	(2,856)	(3,673)	(4,223)	(4,486)	(4,448)	(3,724)	(2,349)	(1,389)	(3,738)	(5,522)	(7,122)	(8,455)	(10,056)
Cash Finance Cost (incl. IFRS 16 interest component)	(1,268)	(1,139)	(1,351)	(1,710)	(1,623)	(1,538)	(1,059)	(624)	(1,683)	(1,249)	(1,249)	(1,249)	(1,249)
JV Dividends & Interest Income	883	2,593	1,137	2,583	2,403	2,134	793	591	1,384	1,400	1,516	1,809	2,209
Free Cash Flow to Equity Holders	11,254	6,832	6,866	(4,292)	(651)	(877)	(12,647)	3,231	(9,416)	(179)	8,993	12,578	16,125
FCF % adj EBITDA	49%	19%	18%	-11%	-1%	-2%	-86%	15%	-26%	0%	17%	22%	25%
FCF % Sales	4%	2%	2%	-1%	0%	0%	-8%	2%	-3%	0%	2%	3%	4%
FCF Yield		3.0%	4.9%	-4.4%	-0.9%	-1.0%	-22.5%	5.7%	-16.6%	-0.3%	15.8%	22.1%	28.4%
FCF Per Share	220.07	2.60	2.30	(1.44)	(0.22)	(0.30)	(4.26)	1.57	(4.01)	(0.09)	4.36	6.10	7.81
FCF per share growth (%)	-18%	-99%	-11%	-162%	-85%	35%	118%	-6%	1260%	-98%	-5112%	40%	28%
ROIC (Bernstein Definition)	6.4%	14.3%	11.5%	11.8%	11.1%	43.4%			2.6%	6.0%	7.3%	8.2%	9.4%

Source: Company reports, Bernstein estimates & analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	20 Jul 2026	Price Target	TTM Rel. Perf.	Reported EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
VOLCARB.SS (Volvo Car)	U	SEK	19.15	17.00	(15.3)%	SEK	0.06	3.09	6.56	327.0	6.2	2.9
OLD								2.48	7.61			
EDME			1,587.83									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Volvo Car AB**

We value Volvo on FCF yield. We value our 2028 FCF estimate of SEK 9.0bn at a 12% FCF yield (a small discount to European peers). We discount this back using a WACC of 8% based on the 3.5% YTM where Volvo's bonds are trading today, and to take into account the risk premium. This gives our 17 SEK target price.

RISKS**Volvo Car AB**

Upside risks include: another short squeeze (c.21% of the float is shorted), any relaxation of tariffs (including US-China, EU-China, US-EU), better than expected results from the cost and cash action plan.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

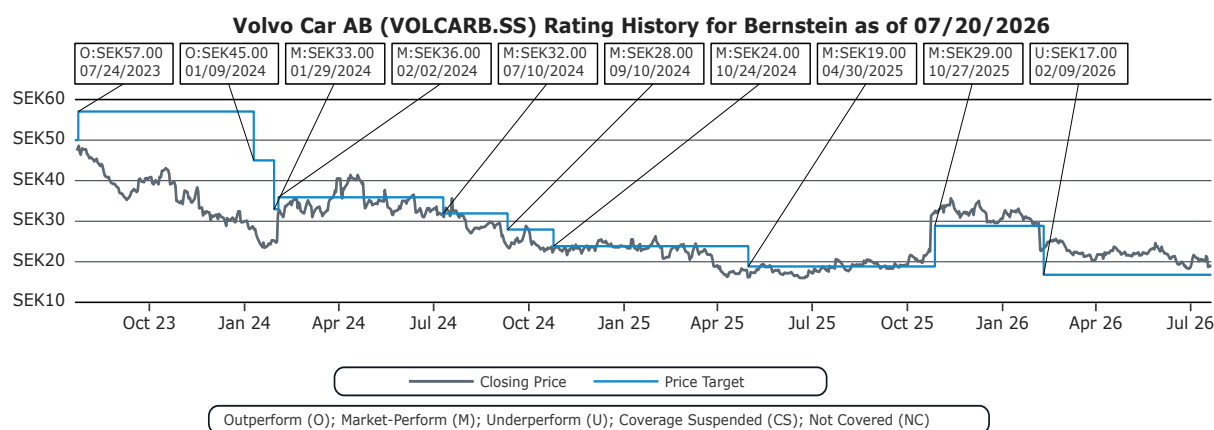
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Volvo Car AB.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Volvo Car AB.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Volvo Car AB.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Volvo Car AB.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
- +65 Sanford C. Bernstein (Singapore) Private Limited; Singapore
- +81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for “Bernstein” and “Autonomous” research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the “Autonomous” and “Bernstein” brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as “permitted client” as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. (“BTG”) is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services licence under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no.

INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](http://SanfordC.Bernstein(India)PrivateLimited) (<https://bernsteinresearch.in/>) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives

on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported

information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.